settling in India. We have already seen how a number of banks were established on the basis of unlimited liability mainly by the English agency houses. Many of them collapsed in 1829–30 when the agency houses with which they were intimately connected failed. Their failure was also the result of combining banking with other businesses, speculation, mismanagement, and frauds. Several other banks were started by European houses but by 1860, half had failed due to speculation and mismanagement.

In 1860, an Act was passed which permitted the starting of joint-stock banks on the basis of limited liability, but soon after the banks were deprived of the right of note issue. With the passing of the Paper Currency Act of 1861, note issue became a government monopoly. It has been argued that a widespread use of notes ensues more quickly from a system of competing note issuing banks than from a monopoly vested in a single bank or government department. This was the experience of France, Germany, and Belgium, whose banking foundations were based on competitive note issues. This put a brake on the growth of banking in India, and it is a distinguishing feature of Indian banking that it developed without any prolonged experience of competitive note issue.[8]

The American Civil War caused an unprecedented boom in India's cotton trade with England. It also led to an orgy of speculation, especially in Bombay which saw an extraordinary floatation of banks during the speculative fever with as many as twenty-five banks and thirty-nine financial associations coming up in the period 1863–65. All this 'financial and banking enterprise was a mere incident in the fantastic speculations in land and other forms of wealth prevalent at the time and when the speculation itself collapsed, not a vestige was to be seen of the colossal financial fabric reared to support and stimulate it.'[9] The bubble burst and all the banks failed. In Sir Dinshaw Wacha's words, 'The city reaped the whirlwind of her own mad folly which ended in 1865–66 in almost universal insolvency and untold distress.' The failures destroyed public confidence in banks and slowed down the progress of joint-stock banking in India.

By 1870, there were only two Indian joint-stock banks with capital and reserves of ₹5 lakhs or more. At the end of the century there were only nine banks with capital and reserves of over ₹5 lakhs, their total paid-up capital